

Annex "IL"

National Policy on Green Procurement

1. Policy Name

National Policy on Green Procurement

2. Effective Date

3. Introduction

1. Background

The worldwide crises in energy, water and finance have created multifaceted socio-economic and environmental problems today that every nation now faces. The bio-capacity of the earth is shrinking owing to the increased per capita human demand on the ecological systems (ecological footprint) as well as the growth of population in the world. Natural resources are limited and rapidly diminishing on account of over-exploitation, especially of non-renewable resources. Unsustainable consumption patterns and production practices are the most potent factors causing a depletion of natural resources.

On the one hand, globalization has linked the economies of the countries in the world together, while on the other hand, environmental impacts such as climate change have no borders and are spreading worldwide. As a response to this situation, internationally, the markets for more sustainable products are growing. The direction of this trend is not limited to new markets and production or to monetary benefits. It advances knowledge on sustainability, builds credible partnerships, and leads to breakthrough innovations and improved brand reputation.

Governments play a key role in directing the utilization of resources efficiently as well as managing resources in sustainable manner. In terms of resource utilization, the government of Sri Lanka applies the Government Procurement Guidelines which was published in 2006 by the National Procurement Agency (NPA) for public procurement. The government procurement process should ensure maximizing cost effectiveness, timeline, and quality in procurement, resulting in least cost together with high quality. However, the environmental performances in regard to the goods, works and services that are procured by the government have not been addressed in the aforementioned procurement guidelines. Hence, by integrating the application of environmental performance considerations in the Government Procurement Process, the government will be in a position to influence the demand for environmentally preferable goods, works and services, and the ability of industry to respond to the need for further promoting the application of environmental standards in the market. Gradually, the private sector also could be encouraged to be associated with this system that some of manufacturing and services sector already follow.

Green Procurement is the selection of goods, works and services that minimize environmental impacts and it is set within the context of achieving value for money. It requires the integration of environmental performance considerations into the procurement process including planning, acquisition, use and disposal. In this context, value for money includes the consideration of many

factors such as performance, availability, quality and environmental performance, in addition to purchasing cost. Green procurement also requires an understanding of the environmental aspects and potential impacts and costs, associated with the life cycle assessment of goods, works and services being acquired.

Green Procurement is a powerful instrument that public authorities could use to meet environmental goals such as reducing greenhouse gas emissions, improving energy efficiency, water efficiency and supporting recycling. Where the decisions are made to move forward realizing specific environmental outcomes through procurement, it is expected that these decisions shall: demonstrate environmental concerns and influence industry and citizens to use environmentally preferable goods, services and processes; stimulate innovation and market development and demand for environmentally preferred goods, works and services; and support emerging environmental friendly technologies and the skilled human resource base in the country.

This National Policy on Green Procurement has been formulated within a framework of mainstreaming green concepts into the procurement cycle and developing enabling environment for its sustainable implementation and thereby facilitating sustainable development in the country through a series of Guiding Principles, Policy Statements and Strategies.

11. Rationale

By incorporating environmental and social considerations into public procurement, the Government can contribute to reducing the impact on the local and global environment, reducing liabilities, and potentially improving the environmental and social quality of the country. The policy directly targets Sustainable Development Goal 12: Ensure sustainable consumption and production patterns, specifically Target 12.7: 'Promote public procurement practices that are sustainable, in accordance with national policies and priorities'.

4. Guiding Principles

a. Economic, Social and Environmental development challenges shall be addressed within the framework of sustainable development. b. The procurement process shall focus on minimizing and/or avoiding: unnecessary purchasing/consumption; waste generation; toxicity; habitat destruction; soil degradation; greenhouse gas emissions, and maximizing: resource efficiency, energy efficiency; water efficiency; value for money; competitive advantage and ; the purchase of eco-labeled/environmentally preferred products/services; education for sustainability opportunities and safety. c. Life Cycle, Sustainable Production and Consumption and Circular Economic principles shall be applied to improve productivity and eco efficiency of the resources use and environmental quality. d. The Polluter Pays Principle, the Precautionary Principle and the Extended Producer Responsibility (product stewardship) approach shall be applied to reduce resource consumption to the maximum extent possible throughout the life cycle of the product and service and to maximize environmental and social responsibility. e. Government agencies shall be obligated to follow rules and procedures for green procurement and related budgeting to ensure transparency and efficient use of public funds at all levels. f. Environmental accountability shall be recognized and assured as an essential means of effective implementation of Public Procurement.

5. Applicability & Scope

This National Policy on Green Procurement shall be a spending and investment process typically associated with public policy. Green standards shall be incorporated into the existing government procurement system with specifications and evaluation criteria.

It could be equally applicable to the private sector and the private sector is encouraged to mainstream environmental performance considerations into their business management cycles.

6. Policy Goals

Promoting environmental friendly procurement in order to maximize resource efficiency, minimize negative impacts on the environment and human wellbeing, and support sustainable development through changing consumer behaviour.

Environment and ethical considerations in public procurement shall contribute towards an efficient public sector and a competitive business sector.

7. Policy Objectives

a) To incorporate the Green Procurement Concept into the existing Public procurement process; b) To provide a clear direction and mandate for implementation of green procurement procedures to meet the government commitment for the Sustainable Development; c) To encourage local eco-friendly Goods, Works and Services and create a vibrant and sustainable market both at local and international levels; d) To assist and motivate local industrial and service sectors to improve their environmental performances and technologies. e) To consider the life cycle environmental cost in the procurement processes; f) To promote networking of environmentally responsible local suppliers; and g) To adopt the Green Economy Concept in the society as a lifestyle. h) To encourage green investments.

8. Policy Statements

Eight categories of policy statements have been included based on principles to achieve the policy objectives. These policy statements provide the necessary guidance for the implementation.

Comprehensive strategies have been included in paragraph 9 under each category to facilitate implementation.

8.1 Defining and Listing of Goods, Works and Services.

a) Environmental Performance Considerations in government procurement process shall be reflected in the entire life cycle of products and services to influence the demand for environmentally preferable goods, works, services and information systems at all levels. b) Goods, works, services and Information Systems shall fit for the purpose and value for money and functionality with environmental performance.

The public sector will promote and purchase recyclable and recycled contented products which include the highest percentage of locally generated post-consumer recovered materials and pre-consumer recovered material available in the market.

8.2 Awareness creation, Knowledge Management and Capacity Building

a) Awareness creation methods should be developed and implemented with a mechanism focusing on all the target groups covering public and private sector producers, suppliers, contractors, intermediaries and consumers as well as the general public at large with access to feedback on the overall green procurement system performances. b) Knowledge management and capacity building models/methods shall be developed to ensure effective implementation of the National Policy on Green Procurement and to ensure continuous improvement of the system efficiencies integrating environmental performance at all level.

8.3 Legal Mechanism and Dispute Resolution

a) The Laws of the Democratic Socialist Republic of Sri Lanka shall be applicable to the green procurement actions, b) Complaints and dispute resolution activities shall be handled in-line with the existing procurement guidelines, with its future updates, and with the laws of the Democratic Socialist Republic of Sri Lanka.

8.4 Monitoring, Verification, Evaluation and Reporting

a) Performance of this policy shall be monitored, verified, evaluated and reported focusing on legal, procedural and good governance aspects as well as on overall social, environmental and economic aspects. b) A comprehensive Green Procurement Performance Report shall be published annually by the Authority in charge of the subject of Procurement in collaboration with the Ministry in charge of the subject of Environment c) Supplementary reports shall be produced by the Ministry in charge of the subject of Environment on real benefits to the environment rather than targets being artificially met through the National Policy on Green Procurement implementation.

8.5 Institutional Mechanism for Policy Implementation and Monitoring

a) Overall regulatory and organizational integration; and oversight function shall be vested with the Authority in charge of the subject of Procurement. b) Ministry in charge of the subject of Environment shall collaborate with the Authority in charge of the subject of Procurement to mainstream green standards and specification into the procurement cycle, c) Monitoring, verification and evaluation of the National Policy on Green Procurement shall be the joint responsibility of the Ministry in charge of the subject of Environment and the Authority in charge of the subject of Procurement. d) A comprehensive and transparent mechanism shall be established to facilitate easy access to information on the policy and its implementation and to provide feedback for all the citizens of the country.

8.6 Facilitation to Local Producers

a) Local producers including Small and Medium Enterprises (SMEs), and suppliers and venders in the supply chain shall be encouraged to mainstream green concepts into their Life Cycle of products, works, and services. b) Robust Accredited Certification systems and standards shall be introduced enabling easy access to local producers.

8.7 Financial Mechanisms

a) A variety of financial schemes and marketing strategies shall be introduced to promote inclusive economic growth through green procurement facilitating all local manufacturers in particular SMEs

to be competitive with the green market system.

8.8 International Cooperation

a) Compliance with the international environmental obligations signed by the government shall be ensured at all levels. b) International cooperation shall be strengthened to innovate and produce more greener products, works, services and Information systems at local level and improve market access to the local community. c) Government commitment shall be renewed and demonstrated for sustainable development through implementation of the National Policy on Green Procurement.

9.0 Policy Implementation

Policy Implementation Strategies:

Based on the eight categories of policy statements following strategies provide further guidance and directions to develop a comprehensive plan of actions in a broad aspect. Policy actions shall be developed following the strategies.

9.1 Defining and Listing of Goods, Works and Services.

a) Green considerations into public procurement shall be incorporated stemming from a more user-friendly standards and specifications and gradually taking into account more aspects or based on higher levels of environmental performance. b) In the evaluation criteria matters related to unequal footing of bidders need to be clearly addressed. c) Goods, works services and Information systems shall be listed as green officially at three levels: making the producers and consumers initially aware of the desire of listing (level3); market analysis of the opportunities and challenges and development of specific criteria (Level 2); and the official listing (level1). d) Green procurement provisions shall be incorporated into guidelines, manuals and standard bidding documents and published enabling producers and consumers to make prudent choices and decisions. e) Green procurement Standards and specifications shall be periodically updated based on the lessons learned, best practices, and in accordance with the development strategies and, improvements of scientific knowledge and technological advances. f) Transparency and consistency shall be assured in the evaluation and selection procedures. g) National standards and Eco-labels, shall be adopted with the participation of all stakeholders such as government bodies, consumers, manufacturers, distributors and environmental organizations, and these shall be accessible to all interested parties. h) User-friendly methods of life cycle environmental cost calculations of goods, works and services shall be made available for producers and consumers to make prudent choices in production and consumption. i) A robust selection criterion shall be developed to identify locally generated post-consumer recovered material and pre-consumer recovered material with a demonstrated track record. j) A quality assurance system shall be adopted and published for the use of producers when using locally generated post-consumer recovered material and pre-consumer recovered material in the production processes. k) A Declaration of the recycled contents shall be made mandatory in the production process and the finished product.

9.2 Awareness creation, Knowledge Management and Capacity Building

a) An Eco-product Directory shall be developed and published as a tool for showcasing a range of green goods, works and services and made available for general public. b) An island-wide information dissemination mechanism shall be established to facilitate easy access to information

and information sharing on the National Policy on Green Procurement and related documents for all the citizens across the country with facilities to obtain feedback. c) Knowledge and skills of the local community shall be systematically upgraded through regional and international training and technology transfer programs on green technology, green concepts, eco labeling and green human resource development. d) A Knowledge Hub shall be established in the Ministry in charge of the subject of Environment in collaboration with the Authority in charge of the subject of Procurement with a dedicated system of networking with other relevant professional bodies for need identification, technical support facilitation, dissemination of expert knowledge and information sharing. e) Capacity building and performance evaluation systems for testing, certification, and accreditation shall be established by the Ministry in charge of the subject of environment and with the Ministry in charge of the subject of Finance. f) International cooperation shall be sought whenever necessary for capacity building in setting green criteria, testing, certification, accreditation, and other relevant technological aspects under the guidance of an appropriate authority.

The National Green Reporting System shall be used to promote industries to improve their system efficiencies as well as their reporting capabilities.

9.3 Legal Mechanism and Dispute Resolution

a) The existing Legal Framework shall be reviewed to identify gaps which would affect in introducing green aspects into: the public procurement process, contract management; and its ability to minimize the harmful effects on the environment resulting from the entire life cycle; production, transportation, supply and distribution, consumption and final disposal. b) Necessary reforms/amendments to the existing legal framework shall be made wherever applicable enabling the public procurement system to effectively comply with environmentally preferable procurements covering the concerns of producers as well as consumers. c) System efficiencies of the entire public procurement cycle shall be strengthened/improved by implementing the principles of public procurement through enforceable legal instruments wherever applicable to reap benefits of using environmentally preferable products, works and services. d) Disputes related to green public procurement shall be resolved in line with the existing appeal procedure and the black listing process.

9.4 Monitoring, Verification, Evaluation and Reporting

a) Comprehensive, achievable and measurable performance indicators shall be developed in order to monitor, verify and evaluate performance of the green procurement with quantitative indicators to assess the progress of implementation of the policy, and its impact on the supply side and demand side with impact-oriented indicators based on baseline data, allowing assessment of output, outcome and impact of the environmental, social and financial gains made. b) Performance indicators shall be periodically reviewed and updated to demonstrate the overall performance of the policy including transitions to equitable and sustainable societies. c) All public sector institutions shall report the progress of green procurement annually with the investment incurred enabling monitoring, verification and evaluation of the performance of this policy. d) Periodical surveys and robust opinion polls shall be carried out to obtain feedback from the end users and other interested parties on the products and services for entire green procurement system improvements. e) A Human Resource Development (HRD) mechanism shall be developed to ensure effective and efficient implementation of the policy at all levels in the public procurement process.

9.5 Institutional Mechanism for Policy Implementation and Monitoring

a) The Authority in charge of the subject of Procurement shall prepare and make amendments to the guidelines, manuals and standard bidding documents; and shall further make related clarifications with the assistance of the Ministry in charge of the subject of Environment and backed by the experts in relevant fields. b) The Authority in charge of the subject of Procurement shall appoint expert committees in the relevant fields to develop guidelines on the implementation of the policy with the assistance of the Ministry in charge of subject of Environment. c) The Procurement Entities with the guidance of Authority in charge of the subject of Procurement shall ensure transparency, fairness, competition, accountability and verifiability and traceability as essential elements in the procurement process. To ensure the transparency and efficiency, e procurement shall be incorporated. d) An Interagency Expert Committee on Green Public Procurement (IAEC — GP) shall be established by the Ministry in charge of the subject of Environment in collaboration with the Ministry in charge of the subject of Finance to develop green specifications. e) Ministry in charge of the subject of Environment in collaboration with the relevant government institutions and the Authority in charge of the subject of Procurement shall create a Citizen Advisory Bureau and closely collaborate with the Knowledge Hub to support transformation from the conventional procurement to green procurement. f) A fully fledged mechanism/unit/secretariat shall be established in the Ministry in charge of the subject of Environment to support monitoring, verification and evaluation of the National Policy on Green Procurement. The Authority in charge of the subject of Procurement shall be the regulatory authority of Green Procurement. g) The Ministry in charge of the subject of Environment shall periodically monitor, verify, evaluate and report the progress of the policy to ensure real benefits to the environment, economy and society rather than targets being artificially met. h) A sustainable network among relevant stakeholders and professional bodies shall be established for transmission of information periodically on economic, social, environmental and administrative issues. i) A green procurement platform shall be created with access to information to all the stakeholders island wide to empower the local community to reap the benefits related to green products, works and services. j) Ministry in charge of the subject of Environment shall review the policy periodically and incorporate appropriate amendments taking into consideration the relevant feedback and performance.

9.6 Facilitation to local producers

a) Appropriate knowledge and skills required, and financial and non-financial incentives shall be provided to support transition. b) A visible Sri Lankan market for green goods, works, services and Information systems shall be fostered by supporting business and industry groups that demonstrate eco-innovation and sustainability. c) Best practices on sustainable production and consumption shall be promoted along the supply chain through improved market access. d) Priorities shall be given to local producers and SMEs to improve access to local and international markets for green goods, works and services. e) Suppliers and vendors who are environmentally responsible and adopt fair-trade practices shall be recognized and rewarded. f) Networking with internationally accepted accreditation/certification systems shall be promoted and the local capacity shall be built to establish/introduce local accreditation/certification systems for green goods, works, services and information systems. g) The Performance of the local accreditation systems shall be strengthened/promoted and facilitated to ensure wider coverage of products, works services and, information systems at local level with international recognition.

9.7 Financial Mechanisms

a) An environmental conservation levy shall be imposed on products, works and services based on the polluter pays principle. b) Innovative financial incentive mechanisms shall be introduced to use the funds from the levy to provide access for funding for focused capacity building and for suppliers comply with environmental criteria and standards. c) Encourage banking sector to provide financial facilities to entrepreneurs enabling them to transfer to the new system. d) International corporation shall be secured wherever possible for standards setting, accreditation, quality control system improvement, monitoring, and other system improvements for technology transfer and usage in the industry sector wherever applicable for successful implementation of the policy

9.8 International Cooperation

a) A user-friendly mechanism shall be established to widely disseminate information on the environmental obligations signed by Sri Lanka with its periodical updates to effective and productive implementation of the National Policy on Green Procurement. b) Networks shall be established/strengthened with the regional and international intergovernmental institutions, internationally accepted professional bodies, research institutions, and other educational institutions to improve innovative skills and knowledge for continuous improvements of production of green goods, works and provision of services. c) A methodology for demonstration of evidence based best practices shall be developed to strengthen the existing partnerships and make new and additional partnerships for market access. d) The progress of the implementation of the National Policy on Green Procurement shall be reviewed periodically to identify, recognize and compile best practices and lessons learned in achieving the sustainable development goals at local and international levels. e) The effectiveness of the progress of compliance with Multilateral Environment Agreements shall be monitored and reviewed periodically and the best practices and lessons learned shall be widely published. f) Best practices and lessons learned shall be shared with the United Nations (UN) and other international fora and assist to building capacities of other countries when necessary.

Glossary

The purpose of this glossary is to assist the users of this policy document to have a fair understanding of some terminologies in the context of which this policy is developed. It is important to note that the interpretation of such terminologies in different contexts and situations could be different.

Bio capacity: Bio capacity refers to the capacity of ecosystems to produce useful biological materials and to absorb waste materials generated by humans, using current management schemes and extraction technologies. Bio capacity can change from year to year due to climate, management, and also what portions are considered as useful inputs to the human economy.

Circular economy: It aims to maintain the value of assets (products, material and resources) for as long as possible by returning them into the asset life cycle at the end of their use, while minimizing the generation of waste by sharing, reusing, repairing, renovating, refurbishing, remanufacturing, recycling and recovering. It is based on three principles, driven by design: Eliminate waste and pollution, Circulate products and materials (at their highest value) and, Regenerate nature.

Eco efficiency: Eco-efficiency is reached by the delivery of competitively priced goods and

services that satisfy human needs and bring quality of life, while progressively reducing ecological impacts and resource intensity throughout the product or service's life cycle. It generates more value through technology and process changes.

Eco labeling: Eco labeling is a method of environmental performance certification and labeling that is practiced around the world. An "eco label" is a label, which identifies overall, proven environmental preference of a product or service throughout the whole life cycle within a specific product/service category.

Ecological footprint: Ecological footprint measures the ecological assets that a given population requires to produce the natural resources it consumes and to absorb its waste, especially carbon emissions. Therefore, it measures the impact of a person or community on the environment, expressed as the amount of land required to sustain their use of natural resources or in brief how much nature we have and how much nature we use.

Environmental Accountability: The principle that all are accountable for any actions on their part that affect the environment, and acknowledges the accountability to the society. It is the responsibility for the deterioration of the natural environment, implying the allocation of environmental costs to the economic activities that cause such deterioration.

Extended Producer Responsibility: It is a policy approach under which producers are given a significant responsibility financial and/or physical for the treatment or disposal of post-consumer products.

Fair trade practice: It is an arrangement designed to help producers in developing countries achieve sustainable and equitable trade relationships. It helps producers in developing countries to get a fair price for their products so as to reduce poverty, provide for the ethical treatment of workers and farmers, and promote environmentally sustainable practices.

Human Resource Development: A series of organized activities, conducted within a specialized time and designed to produce positive behavioral changes. It is a framework for helping employees to develop their skills, knowledge, and abilities.

Life Cycle Assessment (LCA): Life Cycle Assessment (LCA) is a tool to evaluate the environmental and social performance of products or services along their life cycle. Under the Environmental Life Cycle Assessment (ELCA), extraction and consumption of resources (including energy), as well as releases to air, water and soil, are quantified through all stages of the life cycle. Their potential contribution to important environmental impact categories is then assessed. These include climate change, toxicity, eco system damage and resource base deterioration.

Life Cycle Environment Cost: All costs associated within the life cycle of a product that are directly covered by one, or more, of the actors involved in the products life cycle, including externalities that are anticipated to be internalized in the decision-relevant future. It includes both the direct and indirect costs of the environmental impacts caused by the product in its entire life cycle.

Manufacturers and importers of products should bear a significant degree of responsibility for the environmental impacts of their products throughout the product life-cycle, including upstream impacts inherent in the selection of materials for the products, impacts from manufacturers' production process itself, and downstream impacts from the use and disposal of the products.

Multi-Lateral Environment Agreements: The international agreements that are intended to promote international cooperation to address global environmental challenges that the world is facing like climate change, biodiversity loss and, pollution and waste.

Non-renewable resources: A nonrenewable resource is a natural substance that is not replenished with the speed at which it is consumed. They are limited in supply and cannot be used unsustainably.

Polluter Pays Principle: Those who produce pollution should bear the costs of managing it to prevent damage to human health or the environment. The 'polluter pays' principle is normally implemented through two different policy approaches: command-and-control and market-based instruments.

Post-consumer recovered materials: Recovered or diverted waste materials and by-products created by consumers after a product has reached the end of its use. This material is diverted from the Landfill and utilized in the production of other commodities.

Precautionary principles: The precautionary principle enables decision-makers to adopt precautionary measures when scientific evidence about an environmental or human health hazard is uncertain. These principle advices to take action to avoid the possibility of serious or irreversible environmental harm even when scientific knowledge is incomplete or inconclusive. The Precautionary Principle requires more than careful anticipation, avoidance and mitigation of potential harm from human activities that are already underway or proposed for the future.

Pre-consumer recovered materials: Recovered or diverted waste materials and by-products generated by companies during the manufacturing process that is reused in production. They are materials that are recycled or utilized after the manufacturing process, but never make it to consumers. For instance, paper scraps or plastic shavings collected during the manufacturing process.

Procurement cycle: The procurement cycle describes the step-by-step cyclic process used for identifying the requirement for an organization to retrieve the product, service or works.

Producers accept their responsibility when designing their products to minimize life-cycle environmental impacts; and when accepting legal, physical or socio-economic responsibility for environmental impacts that cannot be eliminated by design.

Productivity: Productivity is commonly defined as a ratio between the output volume and the volume of inputs. In other words, it measures how efficiently production inputs, such as labor and capital, are being used in an economy to produce a given level of output.

Resource Efficiency: using the Earth's limited resources in a sustainable manner while minimizing impacts on the environment. It allows us to create more with less and to deliver greater value with less input.

Sustainable Consumption & Production: Sustainable consumption and production is the "The use of services and related products, which respond to basic needs and bring a better quality of life while minimizing the use of natural resources and toxic materials as well as the emissions of waste and pollutants over the life cycle of the service or product so as not to jeopardies the needs of future generations."

Sustainable Development Goals (SDGs): World 2030 Agenda for Sustainable Development is a

set of seventeen aspirational "Global Goals" with 169 targets between them.

Sustainable Development: Development that meets the needs of the present without compromising the ability of future generations to meet their own needs. Sustainable development promotes the idea that social, environmental, and economic progresses are all attainable within the limits of our earth's natural resources. Sustainable development approaches everything in the world as being connected through space, time and quality of life.

Value for money (VfM): it generally used to describe an explicit commitment to ensuring the best results possible are obtained from the money spent. It refers to judicious, economic and efficient use of state resources at a reasonable cost. There are three critical elements in VfM in public procurement namely Economy, Efficiency and Effectiveness.

Annex A

I. Product specification and standards setting

IAEC (Identification of Green Products, Service, Works and IS)

- Procurement Entities
- Additional Green specifications
- Bidding documents
- Procuring of Green Products, Service, Works and IS
- Feedback

ii. Knowledge Creation & Capacity Building

- Government training institutions
- Citizen Advisory Bureau (MP & MoE)
- Clearing house mechanism and Green Procurement Platform